

Paychex vs. ADP — Side-by-Side Cost Analysis

Payroll, 401(k) & Timekeeping | 26 employees | Biweekly payroll (26 runs/year)

PREPARED FOR

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Important: Paychex rates are variable and subject to increase. ADP pricing is fixed.

1. Payroll BIWEEKLY · 26 RUNS/YR

STANDARD PRICING — ACTUAL ONGOING RATE (no promotion applied)

LINE ITEM	PAYCHEX	ADP
Per-payroll rate	\$87 / biweekly	\$74 / biweekly
Calculation	\$87 × 26 runs	\$74 × 26 runs
Annual payroll cost	\$2,262.00	\$1,924.00

Ongoing annual payroll savings with ADP: **\$338.00** (\$2,262 – \$1,924)

YEAR 1 — WITH INTRODUCTORY PROMOTION (6 months free)

LINE ITEM	PAYCHEX	ADP
Per-payroll rate	\$87 / biweekly	\$74 / biweekly
Billable runs (Year 1)	26 runs	13 runs (6 months free)
Calculation	\$87 × 26	\$74 × 13
Year 1 payroll cost	\$2,262.00	\$962.00

Year 1 payroll savings with ADP: **\$1,300.00** (\$2,262 – \$962)

2. 401(k)

CURRENT PLAN · 7 PARTICIPANTS · ~\$218K

Out-of-pocket cost on your current plan (7 billed participants, ~\$218,287 in assets). Paychex admin fees are ACH'd from your bank account; ADP's are billed to the plan.

OUT-OF-POCKET 401(K) COST	PAYCHEX	ADP	SAVINGS WITH ADP
Year 1 (incl. \$1,500 transfer fee; ADP 8 months free, ends Friday)	\$3,924.00	\$0.00	\$3,924.00
Year 2+ (annual, ongoing)	\$2,424.00	\$0.00	\$2,424.00

ADP is **\$0 out of pocket** (billed to the plan), its admin is contractually fixed, and its funds cost **0.07%** vs. Paychex's **0.60%–1.45%** (~\$2,000/yr less in hidden fund fees), plus a 3(38) fiduciary. **See the full breakdown in the separate 401(k) retirement comparison proposal.**

3. Timekeeping

ADP = BYOD APP, NO KIOSK

STANDARD PRICING — ACTUAL ONGOING RATE (no promotion applied)

LINE ITEM	PAYCHEX	ADP (BYOD)
Base fee	\$190 / month	$2.50 \times 26 = \$65$ / month
Base fee — annual	$190 \times 12 = \$2,280.00$	$65 \times 12 = \$780.00$
Per-payroll fee — annual	—	$1.66 \times 26 \times 26 = \$1,122.16$
Annual timekeeping cost	\$2,280.00	\$1,902.16 (\$780.00 + \$1,122.16)

Ongoing annual timekeeping savings with ADP: **\$377.84** (\$2,280 – \$1,902.16)

YEAR 1 — WITH INTRODUCTORY PROMOTION (6 months free)

LINE ITEM	PAYCHEX	ADP (BYOD)
Base fee	\$190 / month	2.50 / employee / month $\times 26 = \$65$ / month
Base fee — billable months (Year 1)	$190 \times 12 = \$2,280.00$	6 months free → pay 6 months $65 \times 6 = \$390.00$
Per-payroll fee	— (included in base)	1.66 / employee / payroll $\times 26$ employees
Per-payroll fee — billable runs (Year 1)	—	6 months free → pay 13 runs $1.66 \times 26 \times 13 = \561.08
Year 1 timekeeping cost	\$2,280.00	\$951.08 (\$390.00 + \$561.08)

Year 1 timekeeping savings with ADP: **\$1,328.92** (\$2,280 – \$951.08)

Total Cost Summary		ALL FIGURES = OUT-OF-POCKET COST		
CATEGORY	PAYCHEX — YEAR 1	ADP — YEAR 1	PAYCHEX — YEAR 2+	ADP — YEAR 2+
Payroll	\$2,262.00	\$962.00	\$2,262.00	\$1,924.00
401(k) (incl. \$1,500 transfer fee, Yr 1)	\$3,924.00	\$0.00	\$2,424.00	\$0.00
Timekeeping	\$2,280.00	\$951.08	\$2,280.00	\$1,902.16
Total	\$8,466.00	\$1,913.08	\$6,966.00	\$3,826.16
YEAR 1 SAVINGS WITH ADP		YEAR 2+ ANNUAL SAVINGS WITH ADP		
\$6,552.92		\$3,139.84		
\$8,466.00 (Paychex) – \$1,913.08 (ADP)		\$6,966.00 (Paychex) – \$3,826.16 (ADP)		

Important: Paychex rates are variable and subject to increase. ADP pricing is fixed — the savings above are protected for the life of your agreement.